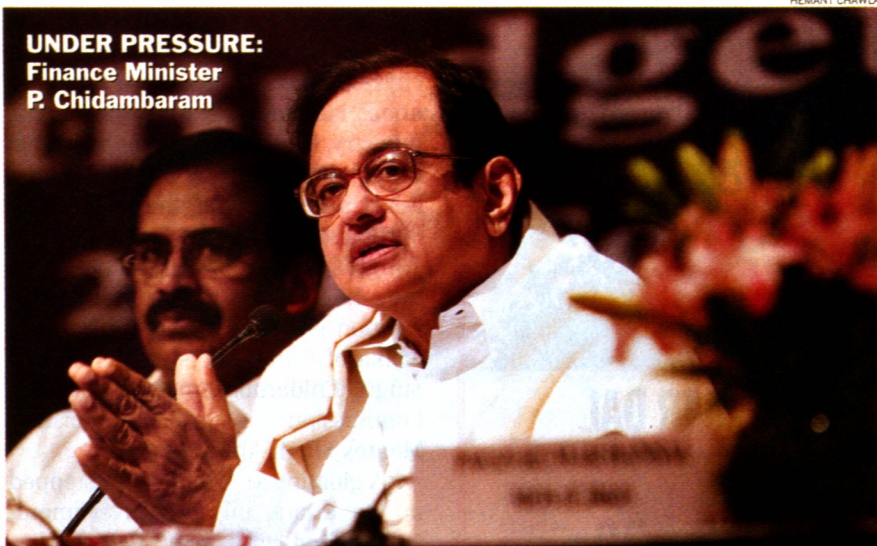


HEMANT CHAWLA

UNDER PRESSURE:
Finance Minister
P. Chidambaram



POLICY FLIP-FLOPS ON FOOD PRICES

DEC 2004 States asked to amend APMC Act to allow private procurement from farmers.

JUNE 2006 Export of 10 types of pulses, guarseed, lentils including split ones banned. Import of wheat and sugar allowed.

JULY 2006 Sugar exports banned

SEPT 2006 Duty-free wheat imports by private companies cleared to stem rising prices and augment supplies even as global prices of wheat touch an all-time high due to production snags.

OCT 2006 MSP for wheat increased by Rs 100 per quintal to Rs 750 as prices started soaring on the back of high demand and poor supply. Government fails to meet wheat procurement programme as it could not compete with higher prices paid by public procurers.

JAN 2007 In the face of a bumper sugar harvest and collapsing world prices of the commodity, the Government partially lifts ban on sugar exports even as the industry is faced with potential arrears of over Rs 7,000 crore to farmers.

FEB 2007 Wheat exports banned till Dec 2007. Export of skimmed milk powder banned as prices of the product harden in global markets.

OCT 2007 MSP for wheat raised to Rs 1,000 from Rs 750. Export of non-basmati rice banned.

Relief package for the sugar industry—moratorium on outstanding term loans extended from two to five years.

Ban on non-basmati rice exports priced over \$425 per tonne partially lifted

MARCH 2008 Minimum export price of basmati rice set at \$900 and non-basmati rice at \$650 per tonne.

Export of all edible oils banned for one year.

Minimum export price for basmati rice reset to \$1,100 per tonne and \$1,000 for non-basmati rice.

Export of all non-basmati rice banned, ban on pulses extended by an year, import duty on maize removed, all edible oil imports made duty-free, duty on refined oils and hydrogenated vegetable fats reduced to 7.5 per cent.

provide better minimum support prices and when internationally the prices are strong, Indian exports are banned. Says Abdul Gaffar, a potato trader in Mumbai: "This year there is a glut in potato and prices are ruling between Rs 350 and Rs 450 per quintal. Less than nine months ago, potato was ruling at Rs 900."

Even as food prices have been on the rise since 2004, when the UPA Government came to power, the dream team has been unable to spur agricultural production in India. The agricultural commodities market is littered with the Government's bungling and policy flip-flops that have now reached a crescendo (see list). From time to time, all that the Centre has done is to ban exports, suspend futures trading in some commodities or increase minimum export prices of others like non-basmati rice. The last one year is a classic case of how the Government has not bothered to address issues of declining acreage, rising demand, global production scenario and changing consumption of commodities and services in India.

One of the biggest factors to fuel the increase in prices of food articles is the stagnant production of foodgrain and pulses. According to the Economic Survey 2007-08, the overall foodgrain production in 2007-08 is expected to fall short of the target by 2.2 million tonne. The production of wheat, the second most important cereal in India after rice, has more or less plateaued since 1999-2000 when wheat production had touched 76 million tonne. India produced 72.5 million tonne of wheat in 2006-07. The rate of growth of foodgrain production decelerated to 1.2 per cent during 1990-2007, lower than the annual rate of growth of population, averaging 1.9 per cent. Not surprisingly, the per capita availability of cereals and pulses witnessed a decline during this period.

Changing food habits and fluctuating world production of wheat have also impacted the price of this commodity. With a perceived supply-demand mismatch and private trade offering prices above the minimum support price (MSP), the Government has been unable to meet its procure-